

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester IV Examination, 2022-23

Paper: BCH-222: Business Economics II

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Explain the classification of markets on the basis of the degree of competition. Also mention its features. [14]

OR

Explain the equilibrium of Industry in perfect competition. Discuss the comparison between perfect competition and monopoly. [14]

Question 2.

What is monopolistic competition? How are the price and output determined under monopolistic competition? [14]

OR

Explain with a proper example the Price Leadership model of Oligopoly. [14]

Question 3.

What do you mean by the Marginal Productivity Theory of Distribution? Write a few assumptions of the theory. [14]

OR

Explain Ricardian Theory of Rent. Also differentiate between differential rent and scarcity rent. [14]

Question 4.

Explain the modern theory of wages. How does it differ from the Marginal Productivity theory (classical theory) of wages? [14]

OR

Differentiate between Gross Profit and Net Profit. To what extent is profit a reward for uncertainty and risk bearing? [14]

Question 5.

Write short notes on the following: [7+7]

(a) Classical Theory of Interest

(b) Neo-classical Theory of Interest

OR

Write short notes on any two of the following:

[7+7]

- (a) Innovation theory of profit
- (b) Quasi Rent
- (c) Price discrimination